other States in order to enhance its domestic companies' ability to operate interstate; rather, it has erected barriers to foreign companies who wish to do interstate business in order to improve its domestic insurers' ability to compete at home.

The crucial distinction between the two cases lies in the fact that Alabama's aim to promote domestic industry is purely and completely discriminatory, designed only to favor domestic industry within the State, no matter what the cost to foreign corporations also seeking to do business there. Alabama's purpose, contrary to California's, constitutes the very sort of parochial discrimination that the Equal Protection Clause was intended to prevent. As JUSTICE BRENNAN, joined by Justice Harlan, observed in his concurrence in *Allied Stores of Ohio, Inc.* v. *Bowers*, 358 U. S. 522 (1959), this Court always has held that the Equal Protection Clause forbids a State to discriminate in favor of its own residents solely by burdening "the residents of other state members of our federation." *Id.*, at 533. Unlike the retaliatory tax involved in *Western & Southern*, which only burdens residents of a State that imposes its own discriminatory tax on outsiders, the domestic preference tax gives the "home team" an advantage by burdening *all* foreign corporations seeking to do business within the State, no matter what they or their States do.

The validity of the view that a State may not constitutionally favor its own residents by taxing foreign corporations at a higher rate solely because of their residence is confirmed by a long line of this Court's cases so holding. *WHYY, Inc.* v. *Glassboro*, 393 U. S., at 119–120; *Wheeling Steel Corp.* v. *Glander*, 337 U. S., at 571; *Hanover Fire Ins. Co.* v. *Harding*, 272 U. S., at 511; *Southern R. Co.* v. *Greene*, 216 U. S., at 417. See *Reserve Life Ins. Co.* v. *Bowers*, 380 U. S. 258 (1965) *(per curiam)*. As the Court stated in *Hanover Fire Ins. Co.*, with respect to general tax burdens on business, "the foreign corporation stands equal, and is to be classified with domestic corporations of the same kind."